Additional information:

(i) On 1.1.2018, the association owned investments ₹ 10,000, premises and grounds ₹ 40,000, stock of bats and balls ₹ 5,000.

(ii) Subscription ₹ 5,000 related to 2017 is still due.

(iii) Subscription due for the year 2018, ₹ 6,000.

Prepare income and expenditure account for the year ended 31st December, 2018 and the balance sheet as on that date.

(Answer: Surplus ₹ 47,000; Opening capital fund: ₹ 75,000;
Closing balance sheet total: ₹ 1,32,000)

CASE STUDY

Shankar is interested in playing chess. He joined a chess club. But, he could not pay the membership fee. He has little accounting knowledge. But, he is not familiar with the accounting records of the clubs and societies. The accountant of the club suggested him to help with maintaining the accounting records for the club, so that he need not pay the membership fee. The club also has a cafe, where members can buy snacks, coffee and tea. Shankar offered his help to the café too. He is not clear on certain terms and accounting practices of the club. But, he is so eager to learn. He needs explanation on the following.

1) What is the main source of income for the club?
2) Is receipts and payments account the same as cash book?
3) Are the members allowed to draw money when a club has surplus of income?
4) How is donation treated?
5) If the members do not pay the membership fee at the end of the accounting period, how will this be considered and treated in the accounting records?

To explore further

A music club has many members. It finds it difficult to maintain the records of all the members. Sometimes, it loses the track of membership fee. Is there possible way for the club to record the data efficiently?

Reference

1. M C Shukla, T S Grewal and S C Gupta, Advanced Accounts, 19th ed., 2017, S.Chand Publishing, New Delhi.
2. R L Gupta and V K Gupta, Financial Accounting, 11th ed., 2014, Sultan Chand and Sons, New Delhi.
3. S P Jain and K L Narang, Advanced Accountancy Vol – I, 2016, Kalyani Publishers, New Delhi.
4. Dalston L Cecil and Jenitra L Merwin, Financial Accounting, 3rd ed., 2017, Learntech Press, Trichy.

12th-Accountancy-Unit-02.indd 80 1/4/2020 11:59:50 AM